

Circular No. 3 of 2026

Revised Procurement Thresholds for All Departments

SAMPLE DOCUMENT: fictional content created for a hackathon demonstration only.

Issued by:	Office of the Chief Financial Officer
Date issued:	15 September 2026
Effective date:	1 November 2026
Supersedes:	Circular No. 5 of 2024
Applies to:	All departments and units

1. Purpose

This circular sets out the revised value limits and approval methods for the purchase of goods and services. It replaces Circular No. 5 of 2024 from the effective date stated above.

2. Procurement methods and thresholds

Direct purchase: purchases up to RM 20,000 may be made by direct purchase with one written quotation.

Quotation: purchases from RM 20,001 up to RM 100,000 require at least three written quotations from registered suppliers.

Open tender: purchases above RM 100,000 must be made through open tender on the e-procurement portal.

3. Splitting of purchases

Splitting one requirement into several smaller purchases to stay below a threshold is not allowed. Any department found doing so will be reported to the Chief Financial Officer.

4. Emergency purchases

An emergency purchase may be made with the written approval of the Head of Department. The department must report the purchase to the Finance Division within 7 working days and explain why it was urgent.

5. Records

Departments must keep all procurement records, including quotations and evaluation notes, for 7 years.

6. Enquiries

Questions about this circular should be sent to the Finance Division procurement helpdesk at procurement.helpdesk@agency.example.